POLICY DOCUMENT

Conflict of Interest Policy

Disclosure, impartial decisions, and protection of charitable resources

Policy ID: NSF-COI-01	Status: Proposed for Board Approval
Approval / Effective Date: To be established	Policy Owner: Board of Directors / designated administrator

1. Purpose and relationship to governing documents

Ninjas STEM Foundation (NSF) is committed to decisions made for its educational and charitable purposes rather than for the preferential benefit of a director, officer, committee member, volunteer, student, or family. This Policy sets out prospective procedures for identifying, disclosing, evaluating, managing, and recording material conflicts of interest.

This Policy supplements applicable federal tax law, Texas Business Organizations Code provisions, the Certificate of Formation, and duly adopted Bylaws. Where a higher or controlling requirement applies, it controls. This Policy does not itself change Board composition, director voting rights, or statutory standards for interested transactions.

2. Covered persons and types of interests

Covered persons include directors, officers, appointed committee members, coaches, program leads, and volunteers who influence purchasing, admissions, fundraising, compensation, grants, disciplinary decisions, or use of Foundation resources. Reporting obligations are proportionate to the person's actual responsibilities.

A material interest may be direct or indirect and may involve a family member, business, investment, employment, compensation, contract, reimbursement, loan, dispute, personal legal expense, donated/restricted funds, or individualized decision concerning the person's own child.

A potential conflict is not misconduct by itself. Parent status alone does not automatically disqualify every director from a program-wide decision, and disagreement, a records request, or a lawful complaint does not independently establish a conflict.

3. Disclosure before participation

A covered person shall promptly disclose a material actual or reasonably foreseeable interest before discussing, recommending, negotiating, or approving the affected matter. Disclosure should identify the relationship, financial or personal interest, estimated value when reasonably available, and other material facts.

The Secretary or another unconflicted designee shall maintain a dated disclosure record. Disclosures should be updated when facts materially change. A written disclosure may be supplemented by an oral presentation entered accurately into meeting minutes.

4. Determination and review procedure

Unconflicted decision-makers shall determine how to address an identified interest under the governing documents and law. The interested person may provide factual information or answer questions when invited, but shall not approve their own reimbursement, compensation, or transaction.

For material related-party transactions, the reviewing body should assess whether the arrangement advances NSF's purposes, is reasonable, respects restrictions, and has sufficiently documented alternatives or comparative pricing where practical. An independent reviewer or outside professional may advise but does not acquire a Board vote.

A recusal or withdrawal shall be documented without creating a fictitious vacancy. Quorum and affirmative-vote requirements remain those established by law and the documents currently in force. If authorized unconflicted decision-makers cannot validly act, defer the matter and obtain counsel's advice rather than adjusting the vote count informally.

5. Examples requiring attention

- A coach or director proposes that NSF buy equipment from the person's company.
- A Treasurer, President, or other approver requests payment or reimbursement to themselves.

- A director is asked to decide a contested admission, renewal, scholarship, or disciplinary matter affecting the director's child.
- A donor or sponsor offers funds with conditions favoring an identified family or private business.
- An individual proposes that NSF pay or advance that individual's personal litigation expenses.
- A committee member seeks a contract, honorarium, internship, or other material personal benefit through NSF.

6. Decisions affecting a director's own child

For an individualized admission, renewal, discipline, educational assistance, or review involving a decision-maker's child, the person shall disclose the relationship and follow applicable recusal and approval procedures. Other directors may ask the person for facts, but the student's case shall be considered under the same published criteria as other students.

Routine team-wide allocations, program schedules, or equipment decisions affecting many participants do not automatically disqualify every parent-director. A uniquely material benefit requires separate examination.

7. Compensation, gifts, and reimbursements

Compensation and related-party arrangements shall be authorized in advance by appropriately unconflicted decision-makers and documented with a reasonable basis for value. Expenses must comply with the Finance Policy, accepted donor restrictions, and applicable federal tax classification. No individual may approve their own payment.

Offers of personal gifts, discounts, referral benefits, or donor advantages that might influence a Foundation decision shall be reported. Modest customary courtesies may be addressed in a separate gifts/benefits schedule approved by the Board.

8. Records and annual disclosure

The decision record should contain the interested person and nature of the interest; the disclosures and factual basis; whether the person was present or participated; who actually deliberated and voted; applicable quorum; alternatives considered when relevant; actual motion and vote; and transaction documents.

Each director and principal officer shall complete an annual conflict disclosure and acknowledgment. Committee members and program leads with significant financial or admission authority shall complete a comparable disclosure when appointed and update it as needed. Completed disclosures are restricted organizational records subject to lawful inspection and preservation obligations.

9. Failure to disclose and non-retaliation

When a possible nondisclosure is identified, an appropriately unconflicted reviewer shall notify the affected person of the concern and allow a response before recommending corrective action. Corrective action may include recusal, independent review, transaction correction, training, or other authorized action. Failure to disclose is not proof that every affected decision is legally void.

Good-faith reporting, lawful inspection demands, or participation in regulatory or judicial proceedings shall not be treated as a conflict or punished merely because NSF disagrees with them. Independently established misconduct remains subject to applicable procedures.

10. Review, adoption, and prospective effect

The Board shall periodically review the Policy and maintain the annual disclosure and related-party decision forms. This Policy applies from its approved effective date and does not retrospectively validate, invalidate, characterize, or resolve a prior disputed transaction, resignation, appointment, or vote.

Source and implementation notes (non-operative)

The following references informed the draft. They do not establish that this policy has been adopted, that every clause is legally mandatory, or that existing governance questions are resolved. Confirm against the documents and law controlling when NSF adopts the policy.

- IRS, Instructions for Form 1023, Appendix A (sample conflict-of-interest policy): https://www.irs.gov/instructions/i1023
- Texas Business Organizations Code §§22.221 and 22.230: https://tcss.legis.texas.gov/resources/BO/htm/BO.22.htm
- QCRA governance policies: https://www.queencityrobotics.org/statements
- NSF October 12 Outreach Committee bylaws draft; currently proposed and not independently established as adopted.